

Q2 CapEx Budget Variance & Cash Flow Analysis

Nordic Horizon Energy Services • Q2 2024

NORDIC HORIZON ENERGY SERVICES — QUARTERLY CAPEX & BUDGET VARIANCE REPORT

Reporting Period: Q2 2024

Division: Midstream Infrastructure & Integrity Management

Prepared By: Corporate Financial Planning & Analysis

Overview of Variances:

Capital expenditures for the second quarter totaled \$28.45 million against a board-approved budget allocation of \$26.61 million, creating an unfavorable budget variance of \$1.84 million (6.9%). Operating expenditures (OpEx) remained largely aligned with forecasts, totaling \$44.12 million versus a planned \$44.50 million, resulting in a favorable operational variance of \$0.38 million (0.9%).

Key Variance Drivers:

- Steel and Specialized Valves (+\$1.12M Variance):** Capitalized materials for the Clearwater Loop extension experienced price escalations due to supplier-side tariffs and expedited ocean freight surcharges required to maintain the commissioning schedule.
- Civil Engineering Subcontractor Overtime (+\$0.94M Variance):** Unplanned hydrovac excavation to clear unmapped utility corridors in Sector 4 required 1,420 additional subcontractor hours.
- Inspection and Tooling Savings (-\$0.22M Variance):** In-line magnetic flux leakage testing was consolidated with scheduled downtime, reducing third-party diagnostic expenses.

Cash Flow & Full-Year Forecast Adjustment:

Total year-to-date capital expenditure is \$51.20 million against a YTD budget of \$49.00 million. To prevent full-year overruns against the annual CapEx envelope of \$98.00 million, engineering leadership has re-phased non-critical compressor station upgrades from Q3 into early FY2025. This deferral will preserve \$3.20 million in near-term cash flow, bringing the projected year-end capital spending to \$97.10 million.